

# Planning for Retirement: Not Planning is Dangerous!

**“Failing to plan, is planning to fail”**

Unknown

Let's start by understanding what retirement planning is.

Retirement planning is understood by people in many ways — what to do with the spare time on your hands, where to settle down after you have left the corporate world, whether to move and when to move into a retirement home, and so on. Here, we are talking about how you should plan your retirement financially. In this chapter, we discuss money. We debate when to start investing exclusively for retirement (earmarking funds for investments), at what age to retire, the various types of insurance — life, medical, and critical care — and whether you need it.

The reasons why you need to undertake retirement planning are not very different from why you need to do financial planning.



The financial service industry, or in our case, the people designing mutual funds, life insurance and pension products, force us to look at financial planning as a necessary step of managing our life, through a barrage of literature and advertisements. Retirement planning is an integral part of the overall plan.

Retirement planning is a very complex process, one that is easier to describe rather than define. Let us analyze the factors that go into successful retirement planning.

1. Timing of retirement: For most people, when they want to retire may not be in their hands, if they work in a large or multi - national or government organization. However, by taking a second job (post retirement) you could retire say at age 65 instead of the stipulated age of 58 years.

2. Post - retirement lifestyle.

3. Post - retirement location: For most people, their current home is what is convenient to travel to their workplace or the children's school. That could change after you retire, when you want to move away from the humdrum of city life.

4. Physical and mental preparation.

5. Money: Being self - sufficient and creating your own pay cheque.

There are many reasons why you need to plan for your retirement at all. Let us enumerate some of them:

**1. To protect you and your family against financial risks:** Financial risks include early death, critical illness, accidents reducing your ability to earn, and so on. It is essential to create a mechanism or safety net to protect your earnings, ensuring that they do not erode but grow.



2. **To reduce or eliminate personal debt:** Too many people spend with money that they are yet to earn! This ensures high pressure on their future cash flows. One major worry about debt is the high cost at which it is available. In case you take a loan on your credit card, you will end up paying about 51% per annum as interest. If you keep a lifestyle supported by a high amount of debt, your ability to save for your retirement will be adversely affected.

3. **To ensure your lifestyle even when you live long:** Unfortunately, this is a risk. Considering that the average life span has increased compared with earlier generations, the associated costs of living will have to be taken care of.

4. **To support career switches and big-ticket expenditures:** Our working options have increased considerably in the past decade or so. There are many alternative, lucrative careers that will help you move out of the career you've been pigeonholed into. You will still need an income when you are testing new waters in an alternative career path. Big - ticket expenditures include your children's education, sometimes higher education, their weddings or even contributing to your grandchildren's wedding or education expenses.

5. **To support the cost of raising kids:** These days, a good schooling, may be a professional degree, and that foreign MBA can total a crore or so. Most parents are unprepared for these expenditures, as they do not correctly estimate the cost of education 10 years from now.

6. **To take care of unforeseen risks:** You may not understand all the risks that you run in your life and in your journey to achieve those goals. Most risks entail the unforeseen loss of money or income, so it is necessary to look ahead and ensure that retirement is hassle-free.



**7. To afford all the assets that you will buy in life:** Contrary to what Robert Kiyosaki, the author of the *Rich Dad, Poor Dad* series believes, we will continue to call a house, a car, nice golf kit, and the luxuries of life assets!

**8. To be able to retire:** At a time of your choosing and in a style that you want to. You do not want to be at the mercy of your kids, do you? So, creating enough money to help you in your 'old age' (that means you, even if you do not like the expression or even if you are in your twenties) is an important goal of financial planning.

**9. To pay for medical, un - insurable expenses:** When you retire, you may not be in the best of health. A full-time maid or nurse or aided living will cost money. Your medical insurance has its limitations – something your financial plan should keep in mind.

**10. To leave money for your kids after your death:** Leaving assets to your children is not obligatory – after all, you paid for their education and contributed to their wedding. Nevertheless, if you like the idea of leaving something for your children or grandchildren, then this should be a part of your financial plan too.

**11. To deal with the unexpected:** Life deals us some funny situations from time to time, as you may have already experienced. One has to be prepared to deal with such situations.



## Why women need to plan more than men

Men and women may not be on an equal footing when it comes to investing for the future. On an average, women work fewer years (due to time taken off for their children) and earn lesser than men, but they also tend to live longer. Although sad, even now in India married women do not actively participate or take the leading role in managing family finances. Therefore, it is imperative that women focus on the concerns that are unique to them when planning for retirement.

### Problem areas

#### Pre-marriage money is spent on the wedding!

Many women abdicate money management responsibility to the men in their lives – father, husband, brother, son – and rarely take it upon themselves to manage the money.

In most cases they are the primary home makers. Consequently, they take a lot of time off – rearing children, managing the house and looking after the elderly or ill people in the house is seen as a woman's job. This often means that women have lesser money in their provident fund and lesser contribution in their public provident fund, which means that there is less money available for compounding.

## Women live longer



Finally, because women generally tend to live longer than men, they will spend more time alone in retirement and may have exhausted their money on general expenses or on the healthcare of the departed partner. On an average, women live longer than men, so logic demands that they must provide for more years in retirement than their male counterparts.

In addition, there are many reasons why women have to manage their money on their own: being unmarried, divorced, or being widowed are chief among them.

Recently, women have started earning more and begun focusing on their career. In the past, while a mother may have given up her career to bring up the children, now new mothers join the workforce quicker depending on a complicated network of help and family to manage the children. However, they still do not actively invest their own money. This attitude must change and women should take a dynamic role in financial planning.

## What women should do - Take charge!

The first step to being financially sensible is to get the basics right. Some of the important fundamentals to read up on and understand include risk - return trade - offs, inflation, exhausting money during retirement and not providing for long - term care expenses. Women should also appreciate some of the hidden benefits in employment, such as lifetime medical expenses coverage, and how to take advantage of that. You must also learn how to handle dematerialised accounts, mutual funds, unit -linked plans, investing in the stock market, other investment avenues and so on.



Women who can manage a house can surely learn personal finance, because every day involves a decision regarding money. If single, they should seek professional money management help. If your husband is mismanaging the finances, you should scream for professional help!

## All this is confusing

Retirement planning sounds very intimidating to many people. However, like all long journeys it begins with a small step. First, you need to accept that you will retire, and like all events in life the person who is better prepared will face it better. So, retirement planning can be made simple by breaking it into small steps.

So let us start.

**Step 1:** If you have a working financial plan, you should include retirement planning in that plan. Ideally, it helps to start early, but it can be difficult to convince someone in their 20s to plan for their retirement! Like any budget, you start planning your retirement budget by estimating your income and expenditure during your retired life. The most important estimate is how much your retirement expenses will be, both day-to-day expenses and big chunky investments.

It is very likely that you will buy at least one house, maybe two cars, white goods, tours and holidays, and need nursing and care during your retirement. Apart from these capital withdrawals, you will have to estimate the expenses on food, shelter and clothing as well.

How much you will spend in retirement is a function of your standard of living and how long you expect to live! If your parents (or grandparents) have been living to the age of 90 years, chances are you will live to a 100!



**Step 2:** Make a realistic estimate of help that you may need for day-to-day living, including nursing, assisted living, old age home, inflation, un-insured medical expenses, medical insurance expenses. All these are what we call 'non-negotiable' expenses. Expenses such as travel, fun, eating out, and entertainment are 'discretionary' expenses, which can be avoided or delayed.

**Step 3:** Next, draw up your list of things you own and the amounts you owe. Estimating how much you really have is an excellent exercise, which you may or may not have done. This statement will tell you about all your assets and liabilities, and your 'net worth'.

## *Assets and Liabilities*

When estimating your assets, ask yourself the following questions. What do you own? These include a home, property, gold, equity shares etc. Do you have a nominee for all these assets? Is there a tax liability on a regular basis? Is the asset insured? How liquid or illiquid is it? When estimating your liabilities, check what liabilities are long term (due in more than 1 year), short term, secured, etc.

## *Cash Flows and Insurance*

When estimating current and future cash flows ask yourself the following questions. What investments have a certain inflow? These could include annuity payments, pensions, interest from RBI bonds, NSCs, etc. What investments have a reasonably certain inflow? These could include dividends from blue chip companies. What investments have an uncertain inflow? These include dividends from not very high quality companies.

When checking your insurance, do check the kind of insurance you have, its coverage and its usefulness after 20 years of inflation.



## Will

This is an essential factor in retirement planning that ensures your wishes are carried out to the letter. Consider if you want to leave some assets for your children or a charity or earmark a certain amount for your children. Also, consider special needs, such as if you need to make a provision for a child or a sibling who cannot earn, and whom you are currently supporting.

## Net Worth

Your net worth is the mathematical difference between your assets and liabilities. Many people forget to add the cash value of their life insurance, their provident fund, etc. in their net worth. Ensure that you include all your assets, and all your liabilities like home loan, car loan, personal loans, etc.

**Step 4:** The next step in retirement planning is to compare your income and expenses. There are 3 possibilities:

- Expenses = Income
- Expenses > Income
- Expenses < Income

Without getting into relative terms, Situations 1 and 2 are close to disaster. And don't forget, if your expenses are only slightly lower than your income, then the demon called inflation will quickly bump you up from the third category to the first two categories. So, you are 'comfortable' only if your income is far higher than your expenses.

Your retirement life should be distributed into at least 4 parts, if not more. Let me explain. Let us assume you retire at 55 and live until the age of 95 years. Your lifestyle (and therefore your expenses and income) will be divided in 4 blocks as follows: 55 - 65, 65 - 75, 75 - 85 and 85 - 95. Once you have decided your 'blocks', estimate your 'retirement income'. From 55 to



65 years you may end up earning some amount by pursuing some activity – right from maintaining accounts for co-operative societies to teaching in a coaching class. Apart from this, you should identify any income you will have in retirement – pensions, as well as any rental, dividend, interest or other income. Systematically withdrawing from your capital is something, which you should consider only after you and your spouse reach the age of 72 - 73. Until then you will have to live within your income. Or to put it better, you have to stay put in Situation 3.

Let's say you are not in the lucky few that are in Situation 3. If your expenses are high (a matter of fact, not of opinion) you need to reduce expenses dramatically. Hold on a second. You believe your expenses are not that high and that you can sustain it? Let's bring you up against reality.

Assume you have 3 meals a day and each meal on an average costs about Rs. 75 (although at McDonalds it will cost you Rs. 90 for a breakfast and Rs. 125 for a meal – totaling Rs. 340 a day!). Your food cost per person per day is Rs. 225 (75x3).

In retirement, your food costs will be Rs. 225 x 30 days x 12 months x 25 years = Rs. 20,25,000 per person. Only food costs for you and your spouse is Rs. 40 lakh. This, after ignoring inflation!

What are the costs that you **WILL** incur in retirement?

## Housing

Entertainment, medical, and more will come a close second. Housing is clearly a factor of the size of the house. Housing expenses can be split up into two segments: physical and financial. The physical will involve a maid, gardener, or cook and the financial will involve the upkeep including maintenance, electricity and tax costs. A big house costs much



more to maintain than a small house. So if the birds have flown the nest, see if you can downsize the house – that will dramatically save you electricity, insurance, maintenance, society charges, etc.

## Daily expenditure

For convenience, you should have one or two credit cards in your armory. The trick is in how you use it, by not using the ‘credit’ part of the credit card. Use it more like a charge card. Credit obtained on a credit card is expensive and thus avoidable – for retirees it is a big No.

## Monthly expenditure

Look at all the monthlies – they create quite a hole – on an annual basis. Do you need 2 landlines and 2 mobiles? What about the magazine subscription for a magazine you do not read? Or a Gym membership that was paid for until today by the company? Or a spare car? Do you need 3 servants? Just think and look hard. You will see the ‘big’ items and the ‘small but recurring items’. Normally, the small but recurring expenses really hurt.

Estimating one’s expenses is an art and a science. Remember to provide for buying one house, a few cars, a few white goods, medicines, hospitalization, medical and life insurance (if appropriate) and entertainment. Just list the whole thing, put a number to it and find out whether it is realistic. If you have never maintained accounts for yourself, it might shock you.

Many books and articles will tell you some thumb rules such as “you will need 70% of your pre - retirement expenses” during your retirement. This figure is too general so it should be taken with a pinch of salt – instead you should be more detailed in your estimation. [The](#)

advantage in doing this exercise say 10 or 15 years in advance of your actual retirement is that you can delay the retirement if need be, change the place where you will stay post retirement, choose the size of the house, etc.

